

Theranos: The Collapse of Trust — Lessons in Investment Risk Management

Key Facts

Company	Theranos Inc.
Industry	Health Technology / Medical Testing
Founded	2003 — Elizabeth Holmes
Funding	Over \$700 million from top investors
Peak Valuation	\$9 billion (2014)
Collapse	2018 — the company dissolved, Holmes convicted of fraud

Executive Summary

In 2003, Elizabeth Holmes — a nineteen-year-old who dropped out of Stanford — founded Theranos with a revolutionary goal: a device the size of a postage stamp that could run hundreds of medical tests from a single drop of blood. The idea seemed compelling: goodbye to large needles, goodbye to crowded labs, goodbye to high test prices.

Over 12 years, Theranos raised more than \$700 million from Silicon Valley's brightest investors — Larry Ellison, Rupert Murdoch, the Walton family — reaching a \$9 billion valuation. Holmes appeared on the covers of Forbes, Fortune, and Inc., and was dubbed "the next Steve Jobs." The board included two former Secretaries of State (Henry Kissinger and George Shultz), a former Secretary of Defense (Jim Mattis), and two healthcare giants.

But the problem was simple and horrifying at once: the technology did not work. Ever. The device called "Edison" could not run the tests Holmes promised. The company ran its tests on conventional Siemens and Abbott machines while claiming to use its revolutionary technology. Test results were manipulated. Errors that nearly harmed real patients were hidden.

In 2015, journalist John Carreyrou of the Wall Street Journal exposed the story. The company collapsed within three years. Holmes was sentenced to 11 years in prison for fraud. Theranos went from a Silicon Valley icon to the most famous case study of governance and auditing failure in investment history.

Key Lessons

Theranos offers five central lessons for investors: (1) "Fear of missing out" (FOMO) is not an investment strategy. Top investors rushed in after one another without doing real due diligence. (2) Boards packed with political celebrities do not mean good governance. (3) When a startup refuses to explain how its technology works under the guise of "trade secrets," that is a red flag, not a smart strategy. (4) Infatuation with a charismatic founder (the "founder cult") blinds investors to operational reality. (5) Deep technology — especially in regulated fields like healthcare — needs time and independent verification, not stories.

Discussion Questions

1. Failure of Due Diligence

- How did investors with billions of dollars fail to discover that Theranos's technology did not work?
- What due-diligence steps should have been taken in the health-tech sector?

2. Governance

- How can investors build governance mechanisms that protect them from fraud without stifling innovation?
- What is the role of an independent board in catching wrongdoing early?